EXECUTIVE SUMMARY

1. Introduction

The LGU was founded in the 1580s by Juan de Salcedo. He found in Camalaniugan, a flourishing community of farmers and fishermen led by Guiab. At that time, Camalaniugan encompassed a large area that included what we know now as the towns of Buguey, Sta. Teresita, Gonzaga and Sta. Ana. Camalaniugan was one of the first towns in Cagayan to be so organized. At present it is composed of twenty eight (28) barangays and ranked as 4th class municipality.

With its existing development trends, strategic locations and resources, the Municipality is envisioned to be the center of Agro-Commercial progress in the province and region as well, where dignified Camalaniugeños feel the enjoyment of improved quality life in a balanced environment thru the principle of good governance.

Records show that through its fast and ever changing economic and political development, the municipality was awarded by institutions, both private and public, as follows:

a. The Seal of Good House Keeping Bronze Category
b. The One of the Best LGU Anti Red Tape Act Implementer
c. The Seal of Good House Keeping Silver Category
d. The Seal of Good Financial House Keeping; and
e. The Seal of Good Local Governance- CY 2016, CY 2017, CY 2019
f. 2017 Top 5 Most Competitive 4th to 6th Class LGU (CMCI)
g. 2018 Top 14 Most Competitive 4th to 6th Class LGU (CMCI)
h. Consistent Seal of Child Friendly LGU
i. Consistent Project PREPARE AWARDEE (Provincial Level)- CY 2016-2018
j. LGU-MHO Purple Ribbon Award- CY 2018 and CY 2019
k. Local Health System Award (Regional Awardee)
l. National Voluntary Blood Services or SANDUGO- (Regional Awardee)
m. Outstanding Performance on Revenue Generation & Resource Mobilization- CY 2018, Having surpassed the target on Business Tax, Fees and Charges, Receipts from Economic Enterprises

The audit covered the accounts and operations of the Municipality of Camalaniugan, Cagayan for the year 2019 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Camalaniugan, Cagayan for the year ended December 31, 2019 with comparative figures for CY 2018 are as follows:

Particulars	2019	2018	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	134,058,222.77	121,587,446.80	12,470,775.97	10.26
Liabilities	57,835,642.33	56,348,330.91	1,487,311.42	2.64
Govt. Equity	76,222,580.44	65,239,115.89	10,983,464.55	16.84
Financial Performance				
Income	110,294,955.76	101,024,082.21	9,270,873.55	9.18
Expense	96,756,635.76	85,243,366.72	11,513,269.04	13.51
Appropriations, Allotments and Obligation				
Appropriations	116,749,927.97	103,987,939.38	12,761,988.59	12.27
Obligations	109,541,947.28	95,339,846.62	14,202,100.66	14.90

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Camalaniugan, Cagayan as at December 31, 2019 due to the following:

1. Completed infrastructure projects with a total cost of P58,277,699.71 funded from Trust Fund were not transferred and recorded in the General Fund books contrary to the provisions of IN 6 of IPSAS 17, hence understating the total assets of the Municipality and no corresponding depreciation expenses were charged ultimately understating the expenses.

2. The validity of the "Road Network" account of the municipality amounting to P20,866,092.77 is understated due to non-recording of the amount of public infrastructure projects from 2016 and prior years as well as the non-preparation of a Local Road Inventory and Road Map, thus, the 100% phased recognition as of CY 2019 of the Local Road Networks in the books of the Municipality was not complied with contrary to Item IX of COA Circular No. 2015-008 dated November 23, 2015.

3. Discrepancy between the value of Property, Plant and Equipment presented in the financial statements and in the Report on the Physical Count of Property, Plant and Equipment (RPCPPE) amounting to P46,132,101.57 remained existing due to the non-reconciliation thereof and the non-maintenance of Real Property Ledger Cards

contrary to Sections 120 and 124 of the New Government Accounting System (NGAS) Manual, thus, casting doubt on the accuracy, validity and reliability of the "PPE" account in the financial statements.

4. Various payable accounts amounting to P37,722,583.88 presented in the financial statements under the Trust and Special Education Funds as at December 31, 2019 were not supported with subsidiary ledgers which contain the breakdown and listing of the various creditors and debtors of the Municipality, thus, the validity and accuracy of the existing rights and obligations of the Municipality cannot be ascertained, contrary to Section 10 of the New Government Accounting System (NGAS) for LGUs.

4. Summary of Significant Audit Observations and Recommendations

The following were the audit recommendations on the above-stated bases for qualified opinion:

1. We recommended that the Management instruct the Municipal Accountant to transfer and record all completed projects funded from the Trust Fund in the General Fund books and recognize the corresponding depreciation expenses thereon in accordance with the recognition and measurement guidelines set out by IPSAS 17.

2. We recommended that the Municipal Mayor direct the:

    a) General Service Officer (GSO) to maintain an updated Local Road Inventory and Road Map and keep a complete Local Road Network Property Card of all roads within its area of jurisdiction;

    b) Municipal Engineer to provide the Municipal Accountant and the GSO with the complete description and cost segregation of the road components for road projects;

    c) Municipal Accountant to record amount of road networks from 2016 and prior years and include in in the Notes to Financial Statements a separate disclosure for "Road Networks" based on the Registry of Public Infrastructure; and

    d) Inventory committee to conduct inventory of local roads, highways and bridges within the municipality's area of jurisdiction which were acquired thru purchase or construction, and donation or transfer without cost.

3. We recommended that Management instruct the concerned departments to reconcile their respective records and effect the necessary adjustments in the financial statements in compliance with the NGAS Manual.

4. We recommended that the Municipal Accountant analyze the subject accounts and trace the valid receivable and payable items of the Municipality and adjust the accounts to their appropriate balances by setting up the supporting subsidiary ledger in accordance with Section 10 of the New Government Accounting System (NGAS) for LGUs.

The other significant audit observations and recommendations are as follows:

1. The trust fund of prior years' unexpended Local Disaster Risk Reduction and Management Fund (LDRRMF) in the amount of P2,005,955.58 was implemented for various programs, projects and activities despite the non-revision of the LDRRM Plan contrary to Section 6.5 of the NDRRMC-DILG-DBM Joint Memorandum Circular No. 2013-001 dated March 25, 2013 and COA Circular 2012-002 dated September 12, 2012, resulting in irregular disbursements of said fund.

   We recommended that management include projects, activities and programs chargeable against the "Trust Liabilities- DRRMF" account in the annual LDRRMFIP of the current year pursuant to NDRRMC-DILG-DBM Joint Memorandum Circular No. 2013-1 dated March 25, 2013 and the same be prepared in substantial adherence to the format prescribed under Annex A of COA Circular No. 2012-002, thereby make this trust fund available for disbursement.

2. The balances of "Due from Other Funds" and "Due to Other Funds" under the Intra-agency Receivable and Payable accounts as at December 31, 2019 have an unreconciled variance amounting to P1,934,275.61, thus, the fairness of the presentation of the related assets, liabilities and other pertinent income and expense accounts may have been affected contrary to Section 111 of PD 1445.

   We recommended that the Municipal Accountant review, analyze and reconcile the intra-agency accounts and exert efforts to locate the documents supporting the transfers to facilitate reconciliation and effect the necessary adjustments in the financial records of the Municipality.

3. Various reconciling items in the Bank Reconciliation Statements pertain to long outstanding stale checks amounting to P354,658.52, hence, should be properly reverted to the Cash in Bank balance pursuant to Section 97 of PD 1445 and Section 59 of Volume I of National Government Accounting System (NGAS) as prescribed by COA Circular 2002-002 dated June 18, 2002.

   We recommended that Management instruct the Municipal Accountant to effect the necessary adjustments in the appropriate fund/s for the stale checks warranting reversion to the general fund in compliance with Section 97 of PD 1445.

4. Observers were not invited during post-qualification activities thus the Bids and Awards Committee (BAC) failed to enhance the transparency of the process

contrary to Section 13.1 of the Implementing Rules and Regulations (IRR) of Republic Act (R.A.) No. 9184 otherwise known as the Government Procurement Reform Act.

We recommended that Management instruct the Bids and Awards Committee to invite the required observers during its post-qualification activities so as to attain transparency of the entire procurement process pursuant to RA 9184 and its Implementing Rules and Regulations.

5. Summary of Total Suspensions, Disallowances and Charges

The Municipality had zero (0) Suspensions, zero (0) Disallowances and zero (0) Charges as at December 31, 2019.

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the twenty-one (21) audit recommendations of last year's report, thirteen (13) were fully implemented, five (5) were partially implemented and three (3) was not implemented as at year-end.